UNIT II

Organizational Ethics: Introduction, Ethical Corporate Behaviour, Development of ethical Corporate behaviour, Ethical Leadership, Ethical Decision Making, Ethical Dilemmas in Organisation, Social Responsibility of Business

Workplace Ethics: Introduction, Factors Influencing Ethical Behaviour at work Ethical Issue: Business Relationships, Conflicts of Interest, Fairness and Honesty, Communications, Discrimination, Harassment, Importance of ethical Behaviour at workplace

Organization

An organization is formed when individuals from different backgrounds and varied interests come together on a common platform and work towards predefined goals and objectives.

Employees are the assets of an organization and it is essential for them to maintain the decorum and ambience of the workplace.

Organizational Ethics

The way an organization should respond to external environment refers to organization ethics. Organization ethics includes various guidelines and principles which decide the way individuals should behave at the workplace.

It also refers to the code of conduct of the individuals working in a particular organization.

Every organization runs to earn profits but how it makes money is more important. No organization should depend on unfair means to earn money. One must understand that money is not the only important thing; pride and honour are more important. An individual's first priority can be to make money but he should not stoop too low just to be able to do that.

Children below fourteen years of age must not be employed to work in any organization. Childhood is the best phase of one's life and no child should be deprived of his childhood.

Employees should not indulge in destruction or manipulation of information to get results. Data Tampering is considered strictly unethical and unprofessional in the corporate world. Remember if one is honest, things will always be in his favour.

Employees should not pass on company's information to any of the external parties. Do not share any of your organization's policies and guidelines with others. It is better not to discuss official matters with friends and relatives. Confidential data or information must not be leaked under any circumstances.

There must be absolute fairness in monetary transactions and all kinds of trading. Never ever cheat your clients.

Organizations must not discriminate any employee on the grounds of sex, physical appearance, age or family background. Female employees must be treated with respect. Don't ask your female employees to stay back late at work. It is unethical to discriminate employees just because they do not belong to an affluent background. Employees should be judged by their work and nothing else.

Organization must not exploit any of the employees. The employees must be paid according to their hard work and efforts. If individuals are working late at night, make sure overtimes are
paid. The management must ensure employees get their arrears, bonus, incentives and other reimbursements on time.

Stealing office property is strictly unethical.

Organization must take care of the safety of the employees. Individuals should not be exposed to hazardous conditions.

Never lie to your customers. It is unprofessional to make false promises to the consumers. The advertisements must give a clear picture of the product. Do not commit anything which your organization can't offer. It is important to be honest with your customers to expect loyalty from them. It is absolutely unethical to fool the customers.

The products should not pose a threat to environment and mankind.

Employees on probation period can be terminated anytime but organizations need to give one month notice before firing the permanent ones. In the same way permanent employees need to serve one-month notice before resigning from the current services. Employees can't stop coming to office all of a sudden.

Ethical Corporate Behaviour

Ethical corporate behaviour refers to actions and practices within a business organization that are morally sound, socially responsible, and legally compliant. It goes beyond simply adhering to laws and regulations to include practices that reflect a commitment to fairness, transparency, and the well-being of all stakeholders, including employees, customers, shareholders, and the broader community.

Organizations can establish and publicly showcase their code of ethics so that potential customers know what to expect. The company can also express its ambitions, principles, and objectives clearly to both staff and stakeholders to help hold everyone accountable. Having a defined code of ethics can help establish trust and confidence in a company and build a culture of transparent and sincere communication. If company leadership sets an ethical tone and management adheres to it, this can help ensure that all employees hold themselves and each other another to those values.

Benefits of incorporating ethics into the work environment

The following are some of the key benefits of workplace ethics:

Employee satisfaction

When businesses commit to upholding high ethical standards, they often treat employees better and encourage them to do the same to others. These ethical principles can help define expectations about how operations impact the interests of clients and investors. By adhering to ethical principles, companies and partners help foster a work environment where employees feel valued, heard, and fulfilled in their positions. With this increased level of satisfaction, firms may find it easier to retain employees and recruit new talent.

Improved workplace culture

When businesses operate responsibly and ethically, their executives and employees often follow suit. Doing this can considerably improve the general culture of the company. For example, if an organization demonstrates an ethical devotion to diversity, inclusiveness, and fairness, investors may feel obligated to adhere to the same ethical norm.
For instance, a company may decide to hold company executives more accountable for unethical behaviour or conduct a more in-depth examination of their own behaviours. This form of interaction can assist firms in improving their overall strategies and developing a solid ethical culture for their workforce that fosters a sense of security, protection, and engagement among stakeholders.

Enhanced public image

When businesses establish clear ethical standards, they often benefit from an improved public reputation. Customers and society as a whole have become increasingly concerned with how companies treat their staff and behave toward the wider public.

For example, as demand grows for eco-friendly items that cause less damage to the natural environment, many consumers scrutinize how businesses create and promote their products. This trend has resulted in the development of a new client market for environmentally-friendly products and services. Operating ethically can help a business enhance its image and avoid any complaints associated with unethical conduct.

Customer retention and engagement

Ethical business practices can help improve consumer engagement and loyalty. Customers may be more likely to engage with brands that are committed to ethical standards. When firms act with responsibility and accountability toward employees and partners, they can earn a significant amount of respect in terms of public reputation.

As a result, customers may feel more confident endorsing a company or investing their money with such businesses. As a firm maintains a sustainable system of ethical values, its reputation may improve over time. This kind of situation can result in increased customer retention. When clients and consumers trust a business, they can connect with it on a deeper level and return regularly.

Streamlined decision-making procedures

Establishing ethical codes of behaviour for employees can help businesses create a strong organizational culture. These ethical rules may assist organizational leaders in making more informed judgments and resolving issues more swiftly when they arise. When businesses hold leaders to specific ethical standards, they can use these guidelines to direct their decisions and settle conflicts effectively. In the long term, such streamlined decision-making mechanisms can help businesses achieve organizational consistency and sustainability.

Ethical leadership

Ethical leadership is a leadership that is directed by respect for ethical beliefs and values. It is related to the concept such as trust, honesty and fairness.

Ethical leadership is defined as “leadership demonstrating and promoting ‘normatively appropriate conduct through personal actions and interpersonal relations’.” When you boil it down, this really means that ethical leadership is defined as putting people into management

and leadership positions who will promote and be an example of appropriate, ethical conduct in their actions and relationships in the workplace.

In the business world today, ethics are an increasingly important element and point of discussion. So leadership with ethics is very important to understand, to develop, and to recognize in the business world. If you want to become a business leader, learning about ethical
leadership is crucial to help you get there. It's your responsibility to model moral behavior in the workplace when you're in a position of power in an organization. Integrity, moral behavior, and ethics are key to being a great leader.

Learn about the value of ethical leadership, how to become an ethical leader, and see examples of leadership with ethics around us in the business world today.

Ethical Leadership is about being a leader who considers and works towards being a leader who:

1. **Has Integrity**: Acts fairly and represents the company in a fair way (both for their financial interests and morally)
2. Works to **promote Equality, Diversity, and Inclusion** (EDI) within the workplace and is fair to all employees
3. **Creates a safe work environment** for those one leads (i.e. a psychologically safe workplace)
4. Provides **transparency and is approachable**, i.e. enables open communication 5. **Leads by example**, including by showing honesty and through a good and positive work ethic and manner
6. Can **show empathy and compassion** toward others.
7. Is someone others feel they **can trust**
8. I**s socially responsible**: Ethical leaders recognize their responsibility not only to their organization but also to the greater society.

The importance of ethical leadership.

Leadership that is ethical is important for a variety of reasons, for customers, employees, and the company as a whole. Leadership skills are crucial to help create a positive ethical culture in a company. Leaders can help investors feel that the organization is a good, trustworthy one. Customers are more likely to feel loyal when they see leaders in place in an organization. Good press is likely to come when there are ethical leaders in an organization. Partners and vendors will similarly feel they can trust and work well with an organization when they see leadership that is ethical displayed.

In the short-term, ethical leaders can help boost employee morale and help them feel excited about their management and their work. It can increase positivity and collaboration in your organization and make everyone feel happier to be at work.

In the long-term, ethical leadership can prevent company scandals, ethical dilemmas, and ethical issues. It can also help organizations gain more partnerships and customers, which can lead to more money at the end of the day. Loyal employees are also a crucial element of long term success for a business.

At the end of the day, Leadership with ethics and ethical principles have major short-term and long-term benefits for organizations and individuals alike.

Ethical leadership examples

Let's now look at some examples of ethical leadership, and some poor examples of leadership, so you can understand even more clearly how to become a leader who models behavior that is ethical.

Poor examples of leadership.

- Sam is in a meeting with his staff when a concern is raised by Taylor. Sam brushes it off as something that's not a very big deal. As a result, Taylor won't bring up issues in the future that end up losing them a customer.
- Kelly is good friends with Grace at the office. Grace and Aaron work together often, and are having an issue when it comes to priorities and meeting deadlines. When listening to the dispute, Kelly assumes that Grace is correct and doesn't take Aaron's grievances into account very seriously. Aaron can sense this bias, and takes the dispute to HR, who finds that there was an issue and Kelly didn't take care of it.
- Joel tells his employees they need to be constantly accurate with clocking out for lunches every day. But often, Joel will take a lunch in his office, so he doesn't clock out, but he isn't working. This poor example leads his employees to distrust him, to gossip about him, and feel frustrated.

Good examples of leadership.

- Lisa is a restaurant manager who helps her waitstaff when they are busy. The staff appreciates the fact that Lisa notices and is willing to help them out.
- Kerry is going through some issues with her family at home which is making her feel stressed. She takes five minutes to herself when she gets to her office every morning to help her leave the stress at home, and get through the day. Her staff is very appreciative that she is kind and calm during work.
- George is leading his team through a merger with another organization. Many of his employees are stressed, but George is a confident and positive model of how to do work well without being overly anxious. His staff feels more confident and at-ease because George is so relaxed and positive.

Ethical Decision Making

Ethical Decision Making is the process of evaluating and choosing among alternatives in a manner consistent with ethical principles. It involves analysing situations, recognizing the ethical implications of choices, and deciding on actions that align with values such as honesty, fairness, and respect for others.

Key Components of Ethical Decision Making

1. **Identify the Ethical Issue:**
    - Clearly define the problem and understand the ethical principles involved.
    - Recognize who is affected by the decision.
2. **Gather Information:**
    - Collect all relevant facts.
    - Understand the context and stakeholders' perspectives.
3. **Consider Ethical Principles:**
    - Use ethical frameworks such as:
        - **Utilitarianism:** Focus on the outcomes and choose what benefits the greatest number of people.

        - **Deontology:** Follow rules, duties, and obligations regardless of the consequences.
        - **Virtue Ethics:** Act in accordance with moral virtues like integrity and empathy.
        - **Justice:** Ensure fairness and equity in the decision-making process.
4. **Evaluate Alternatives:**
    - Assess possible courses of action and their implications.
    - Consider short-term and long-term consequences for all stakeholders.
5. **Make a Decision:**
    - Choose the course of action that aligns with ethical principles and values.
    - Be prepared to justify the decision based on a sound ethical reasoning process.
6. **Implement the Decision:**
    - Take action with transparency and accountability.
    - Communicate the decision effectively to stakeholders.
7. **Reflect on the Outcome:**
    - Evaluate the results of the decision.
    - Learn from the process for future ethical dilemmas.

Ethical Dilemmas in Organizations

Ethical dilemmas in organizations arise when individuals or groups face situations requiring a choice between competing moral principles, often involving conflicts between personal values, professional responsibilities, and organizational goals. These dilemmas can significantly impact trust, culture, and decision-making within a workplace.

Common Ethical Dilemmas in Organizations

1. **Conflicts of Interest**
    - Employees or leaders must choose between their personal interests and the organization's welfare.
    - Example: A manager awarding a contract to a family member's company despite better options.
2. **Misuse of Resources**
    - Using organizational assets for personal gain or purposes unrelated to the organization.
    - Example: Employees using company funds or equipment for personal projects.
3. **Discrimination and Harassment**
    - Situations involving unequal treatment or inappropriate behavior based on race, gender, religion, or other protected characteristics.
    - Example: Favoritism in promotions or tolerating a hostile work environment.
4. **Whistleblowing**
    - Deciding whether to report unethical or illegal activities, risking retaliation or loss of trust.
    - Example: An employee exposing financial fraud within the company.
5. **Lying or Misrepresentation**
    - Providing false information to customers, stakeholders, or within the organization.
    - Example: Misleading advertising or inflating performance metrics.
6. **Data Privacy and Security**
    - Balancing organizational goals with the responsibility to protect sensitive information.
    - Example: Selling customer data without consent for financial gain.
7. **Unethical Leadership**

- Leaders promoting unethical behavior or pressuring employees to act unethically.
- Example: Encouraging cost-cutting measures that compromise product safety.

8. **Fairness in Resource Allocation**
   - Unequal distribution of opportunities, rewards, or workload among employees.
   - Example: Providing bonuses only to certain departments, ignoring others' contributions.
9. **Environmental Responsibility**
   - Balancing profit with sustainable practices and environmental stewardship.
   - Example: Choosing cost savings over eco-friendly manufacturing methods.
10. **Pressure to Meet Goals**
    - Employees facing unrealistic performance expectations that encourage unethical practices.
    - Example: Employees falsifying sales numbers to meet targets.

Examples

Some examples of ethical dilemma include:

· Taking credit for others' work
· Offering a client a worse product for your own profit
· Utilizing inside knowledge for your own profit

Social Responsibilities of a Business

Social responsibility is a moral obligation on a company or an individual to take decisions or actions that is in favour and useful to society. Social responsibility in business is commonly known as Corporate Social Responsibility or CSR. For any company, this responsibility indicates that they acknowledge and appreciate the goals of the society, and therefore, would support them to achieve these goals.

An organization's obligation to make decisions and perform them for the benefit of society and its values is known as **Social Responsibility.** It is assumed under social responsibilities that businesses will respect the values and aspirations of society and try their best to fulfill these aspirations and accomplish their business goals. In simple terms, it is the responsibility of an organization to be a responsible member of society and work towards its betterment. However, according to critics, social responsibility practices are exact opposites of the major motive of a business's existence. Social responsibility in business is also known as **Corporate Social Responsibility (CSR).**

For example, a factory not disposing of its chemicals and waste in the water bodies, improving working hours and conditions of the employees, donating part of the firm's profits to educational services for poor children, etc. Social responsibilities performed by the companies not only help society, but also help the business gain a positive image and build its brand in the market. It motivates the employees of the firm to work hard, as they feel good to be a part of an organization that works well for society and respects its values.

Types of Social Responsibilities

Following Are the Different Types of Social Responsibilities:

(1) Economic Responsibility

· Every business is engaged in economic activities.

· So, the prime social responsibility of every business should be economic responsibility. · Hence they should sell products and service which can satisfy the need of the society.

(2) Legal Responsibility

· The company should comply with the political and legal environment of the country. · The company should consider protecting the environment.

(3) Ethical Responsibility

· This type of responsibility expects a certain type of behaviour or conduct from the company.
· This behaviour may not be documented by law.

(4) Discretionary Responsibility/ Philantropic

· These are voluntary actions taken by the entities in case of natural calamities, helping poor people etc.
· They help them by providing a charitable contribution, education activities etc. · It prevents investments of charitable funds into speculative activities.

Workplace Ethics:

Introduction

Ethics at workplace often referred to as workplace ethics, are the moral principles and values that guide an individual's behaviour and decision-making in a professional setting.

These ethical principles are essential for creating a positive and responsible work environment.

Workplace ethics are shaped by a combination of personal values, societal norms, and the specific ethical standards set by an organization or industry.

Workplace ethics refer to the moral principles and standards that guide behavior in a professional environment. These ethics shape how employees and employers interact, make decisions, and maintain a positive organizational culture. Strong workplace ethics foster trust, collaboration, and respect, contributing to the success of individuals and organizations alike.

Why are ethics at workplace important?

Ethics are critically important in the workplace for several reasons, as they serve as the foundation for a healthy and productive work environment. Here are some key reasons why workplace ethics are essential:

Maintaining Trust and Credibility

Ethics help build and maintain trust among employees, customers, clients, and other stakeholders. When people believe that individuals and organizations act with integrity, they are more likely to trust them, which is essential for successful working relationships and business partnerships.

Enhancing Reputation

A commitment to ethical conduct helps organizations build a positive reputation. A strong ethical reputation can attract customers, investors, and top talent. In contrast, ethical lapses can lead to reputational damage that can be difficult to repair.

Legal Compliance

Ethical behaviour often aligns with legal requirements. When employees and organizations follow ethical guidelines, they are more likely to comply with laws and regulations. Failure to adhere to ethical standards can result in legal consequences.

Employee Morale and Productivity

An ethical workplace fosters a positive atmosphere, leading to higher employee morale and job satisfaction. When employees believe their organization acts ethically, they are more likely to be motivated, engaged, and productive.

Conflict Resolution

A solid ethical foundation provides a framework for resolving conflicts in a fair and principled manner. Ethical principles help guide negotiations and decision-making in a way that promotes fairness and compromise.

Customer Loyalty

Ethical behavior in business translates to customer trust and loyalty. When customers believe a company is honest and ethical, they are more likely to continue doing business with that company.

Stakeholder Confidence

Ethical conduct enhances the confidence of various stakeholders, including shareholders, suppliers, and the community. This can lead to increased investment and support from these groups.

Reducing Organizational Risk

An organization that emphasizes ethical conduct is less likely to engage in risky or fraudulent activities, reducing the likelihood of legal and financial consequences.

Long-Term Sustainability

Ethical practices contribute to the long-term sustainability of a business. By adhering to ethical principles, organizations can build enduring relationships, make responsible decisions, and create a stable and profitable future.

Corporate Social Responsibility (CSR)

Ethical behavior often extends to a company's commitment to social and environmental responsibility. Engaging in CSR initiatives can positively impact a company's image and community relations.

Innovation and Creativity

Ethical organizations are more likely to foster an open and inclusive culture that encourages innovation and creativity. Employees in such environments feel safe to voice their ideas and take calculated risks.

In summary, the reason why workplace ethics is important is because it guides every professional's behaviour at work.

This means they will have proper discipline towards producing good quality work consistently without prodding from others.

They lead to trust, credibility, and employee satisfaction, while also reducing legal risks and enhancing the organization's reputation.

Factors Influencing Ethical Behavior at Work

Ethical behavior in the workplace is shaped by various internal and external factors. Understanding these factors can help organizations foster an ethical culture and address potential challenges.

1. Personal Factors

- **Values and Morals**: An individual's personal belief system influences how they perceive right and wrong.
- **Cultural Background**: Cultural norms and upbringing shape attitudes toward ethical practices.
- **Education and Awareness**: Awareness of ethical standards and guidelines plays a crucial role in decision-making.
- **Emotional State**: Stress, peer pressure, or personal conflicts can impact ethical judgment.

2. Organizational Factors

- **Company Culture**: A culture that prioritizes ethical practices encourages employees to follow suit.
- **Leadership**: Ethical leadership sets the tone for acceptable behavior across the organization.
- **Policies and Codes of Conduct**: Clear guidelines and enforcement mechanisms promote ethical behavior.
- **Rewards and Consequences**: Incentives for ethical actions and penalties for unethical ones influence behavior.

3. External Factors

- **Industry Standards**: Expectations set by industry regulators or professional associations.
- **Economic Pressure**: Financial challenges or competition may tempt individuals or organizations to compromise ethics.
- **Legal Framework**: Compliance with laws and regulations ensures ethical obligations are met.
- **Social Influence**: Norms and expectations from society or peer groups impact behavior.

Ethical Issue: Business Relationships, Conflicts of Interest, Fairness and Honesty,

Communications, Discrimination, Harassment

An individual's ethical concerns are about relationships and responsibilities at the workplace where correct decisions are not perfectly clear, and there are no hard and fast rules to follow. One set of relationships and responsibilities is directly related to employees, and include such areas as discipline, performance appraisal, safety, and the administration of reward systems. Another set is concerned with customers and suppliers, and include the intricate aspects of such elements as timing, quality, and price. Ethical dilemmas also arise when there are conflicts in values with superiors or peers over such things as strategy, goals, policy, and administration. Mainly ethical issues can be categorized in the framework of their relation with business associates, conflicts of interest, fairness and honesty, and communications.

Business Relationships:

The behaviour of businesspersons toward customers, suppliers, and others in their workplace may also generate ethical concerns. Ethical behaviour within a business involves keeping company secrets, meeting obligations and responsibilities, and avoiding undue pressure that may force others to act unethically.

Managers, in particular, because of the authority of their position, have the opportunity to influence employees' actions. For example, a manager can influence employees to use pirated computer software to save costs. The use of illegal software puts the employee and the company at legal risk, but employees may feel pressured to do so by their superior's authority.

Customer's need should be considered most when it comes to ethical business practices. In the long run, a company will reap great profits from a customer base that feels it is being treated fairly and truthfully. Organizational pressures may encourage a person to engage in activities that he or she might otherwise view as unethical, such as invading others' privacy or stealing a competitor's secrets.

Conflicts of Interest

A **conflict of interest** occurs when an individual's personal interests, relationships, or activities compromise or influence their professional duties, responsibilities, or decision-making. This situation can lead to biased actions that may not align with the best interests of an organization or its stakeholders.

A conflict of interest arises when personal interests interfere with professional duties and responsibilities.
Example: A manager giving contracts to a company owned by a relative without fair evaluation of other vendors.
Ethical handling requires full disclosure and recusal from decision-making.

A bribe is a conflict of interest because it benefits an individual at the expense of an organization or society. Wal-Mart Stores, Inc., may have the toughest policy against conflict of interest in the retail industry. Sam Walton, the late founder of Wal-Mart, prohibited company buyers from accepting so much as a cup of coffee from suppliers. To avoid conflicts of interest, employees must be able to separate their personal financial interests from their business dealings.

Conflicts of interest need not be financial. For example, "if my son is working in a company that manufactures the type of tools that my organisation purchases, I have an interest in seeing him succeed and may be motivated to give him my company's business even although other firms may offer better terms.

Types of Conflicts of Interest:

1. **Financial Conflict of Interest:**
    - When personal financial gain affects professional judgment.
    - *Example:* A manager awarding a contract to a company they have financial investments in.
2. **Personal Relationships Conflict:**
    - Favoring family members, friends, or close acquaintances in professional decisions.
    - *Example:* Hiring a relative without fair competition in recruitment processes.
3. **Self-Dealing:**
    - Using a position of power to benefit oneself directly.
    - *Example:* A board member using company resources for personal gain.
4. **External Commitments Conflict:**
    - Holding multiple roles where duties conflict with each other.
    - *Example:* Serving on the board of two competing companies.
5. **Gifts and Hospitality:**
    - Accepting gifts or perks that may influence decision-making.
    - *Example:* Receiving expensive gifts from a supplier before awarding a contract.

Fairness and honesty:

Fairness and honesty are at the heart of business ethics and relate to the general values of decision makers. At a minimum, businesspersons are expected to follow all applicable laws and regulations. But beyond obeying the law, they are expected not to harm customers, employees, clients, or competitors knowingly through deception, misrepresentation, coercion, or discrimination. One aspect of fairness and honesty is related to disclosure of potential harm caused by product use.

Fairness and honesty are fundamental ethical principles in both personal and professional environments. They promote integrity, transparency, and equitable treatment, ensuring decisions and actions are morally justifiable and free from bias or deception.

Fairness involves treating all individuals and stakeholders equally, without favoritism, discrimination, or prejudice. It ensures just and impartial decision-making.

Example: In hiring, all candidates should be assessed based on their skills and qualifications rather than personal connections or preferences.

Honesty involves being truthful, transparent, and sincere in all communications and actions. It promotes trust and credibility.

Example: A company disclosing both the benefits and risks of a product in its marketing materials.

For example, Mitsubishi Motors, a Japanese automaker, faced criminal charges and negative publicity after executives admitted that the company had systematically covered up customer complaints about tens of thousands of defective automobiles over a 20-year period in order to avoid expensive and embarrassing product recalls. Another aspect of fairness relates to competition. Although numerous laws have been passed to foster competition and make monopolistic practices illegal, companies sometimes gain control over markets by using questionable practices that harm competition. Rivals of Microsoft, for example, accused the software giant of using unfair and monopolistic practices to maintain market dominance with its Internet Explorer browser.

Communications:

Communications is another area in which ethical concerns may arise. False and misleading advertising, as well as deceptive personal-selling tactics, anger consumers and can lead to the failure of a business. Truthfulness about product safety and quality are also important to consumers. The Food and Drug Regulatory authorities need to ensure that customers are told the truth about product safety, quality, and effectiveness claims. Some manufacturers fail to provide enough information to consumers about differences or similarities between products.

Communication in ethics refers to the practice of sharing information clearly, honestly, and respectfully in personal and professional settings. Ethical communication is essential for building trust, fostering transparency, and ensuring mutual understanding among individuals and organizations.
For example, a lawsuit filed by consumers against Johnson claimed that the company's Acuvue and 1-Day Acuvue contact lenses were actually the same product. Consumers were directed by the company to dispose of the 1-Day Acuvue lenses after one day's use. The suit claims that because the two products were identical, the lenses could have been worn up to two weeks. It is estimated that six million people who used contact lenses spent $1.1 billion on unnecessary replacements because of the company's misleading advertising. Johnson & Johnson agreed to pay up to $860 million to settle the complaints. Another important aspect of communications that may raise ethical concerns relates to product labelling. It is mandatory for cigarette manufacturers to indicate clearly on cigarette packing that smoking cigarettes is harmful to the smoker's health.

Examples of Ethical Communication in Practice:

· **Workplace:** Sharing honest performance feedback with employees. ·
Marketing: Avoiding misleading claims in advertisements.
· **Media:** Reporting news without bias or manipulation.
· **Healthcare:** Providing patients with complete and understandable information about treatments.

Discrimination and harassment

Discrimination and harassment are major ethical issues for HR professionals and managers, with serious impacts on an organisation's finances and reputation. Anti-discrimination laws in many countries aim to protect employees from such unfair treatment. Some anti-discrimination areas include:

· Age: Organisations and internal policies cannot discriminate against employees who are older.
· Disability: To prevent disability discrimination, it's important to accommodate and provide equal treatment for employees with mental or physical disabilities. · Equal pay: Equal pay focuses on ensuring that all employees receive equal compensation for similar work, regardless of religion, gender or race.
· Pregnancy: Pregnant employees have a right not to be discriminated against on account of their pregnancy.
· Race: All employees should receive equal treatment, regardless of race. · Religion: Employees' religious beliefs should not affect how anyone within the organisation treats them.
· Sex and gender: An employee's sex and gender identity should not influence their treatment while working at an organisation.

HR professionals and senior managers should educate employees on discrimination issues and foster a positive work culture to combat it. Clearly communicate the disciplinary consequences of discriminatory behavior to all staff. Strive to hire individuals from diverse backgrounds to promote a varied workforce. Consider age, religion, and culture when developing internal policies to better accommodate employees' needs.